



# **BUSINESS 1 (BASIC ACCOUNTING)**

**ACADEMIC**

## **Grade 11/12**

**Curriculum Guide**

**BUSINESS 1**  
**(BASIC ACCOUNTING)**  
*Prerequisite: None*

**Course Description:**

This course provides learners with a comprehensive understanding and analysis of the fundamental principles and concepts of accounting. It covers key topics such as the Accounting Cycle of a Service Business and a Merchandising Business and application of accounting concepts in real-world business scenarios.

**Elective:** Academic

**Time Allotment:** 80 hours for one term

**Content Standards**

- The learners demonstrate understanding of the fundamental concepts and principles of accounting and accounting for service business.
- The learners demonstrate understanding of concepts and principles of accounting for merchandising business.

**Performance Standards**

- The learners analyze key accounting functions and principles relevant to real enterprise operations such as type of business, books of accounts used, and accounting process methodology.
- The learners complete the practice sets following the accounting cycle for merchandising business using the perpetual and the periodic methods.

| Learning Competencies                                                              | Content                                                                                                                                                                                                                                                                                                                                       |
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| <b>Introduction to Accounting for Service Business</b>                             |                                                                                                                                                                                                                                                                                                                                               |
| 1. Discuss the nature, history and branches of accounting and its offered services | <p>Introduction to Accounting</p> <ul style="list-style-type: none"> <li>• Meaning, nature and functions of accounting</li> <li>• History of accounting</li> <li>• Branches of accounting and its services</li> </ul> <p>Users of Accounting Information</p> <ul style="list-style-type: none"> <li>• Internal</li> <li>• External</li> </ul> |
| 2. Explain the basic accounting framework                                          | <p>Basic Accounting Concepts and Principles</p> <p>Introduction to the Generally Accepted Accounting Principles (GAAP) and Philippine Financial Reporting Standards (PFRS)</p>                                                                                                                                                                |
| 3. Distinguish the five major accounts and their classifications                   | <p>Types of Major Accounts</p> <ul style="list-style-type: none"> <li>• Assets</li> <li>• Liabilities</li> <li>• Owner's Equity</li> <li>• Income</li> <li>• Expenses</li> </ul>                                                                                                                                                              |
|                                                                                    | <p>Classification of Accounts</p> <ul style="list-style-type: none"> <li>• Nominal accounts</li> <li>• Real accounts</li> </ul>                                                                                                                                                                                                               |
| 4. Analyze simple business transactions following the rules of debit and credit    | <p>The Accounting Equation</p> <p>Types of Business Transactions in a Service Business</p>                                                                                                                                                                                                                                                    |

| Learning Competencies                                                      | Content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
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|                                                                            | Rules of Debits and Credits using T-accounts                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
| 5. Distinguish the book of accounts                                        | Books of Accounts <ul style="list-style-type: none"> <li>• General Journal</li> <li>• General Ledger</li> <li>• Subsidiary Ledgers</li> <li>• Cash Receipt Journal</li> <li>• Cash Disbursement Journal</li> <li>• Sales Journal</li> <li>• Purchase Journal</li> </ul>                                                                                                                                                                                                                                                                                                                                         |
| 6. Discuss Balance Sheet as a Financial Statement                          | Accounting Worksheets for: <ul style="list-style-type: none"> <li>• Income Statement</li> <li>• Statement of Changes in Owner's Equity</li> <li>• Balance Sheet</li> <li>• Statement of Cash Flow</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                    |
| 7. Analyze service business transactions and the required source documents | Accounting Cycle of a Service Business <ol style="list-style-type: none"> <li>1. Identify the transaction and events</li> <li>2. Analyze the nature of the transactions and events</li> <li>3. Journalize transactions using the general and special journals namely: sales journal, purchase journal, cash receipts journal and cash payments journal</li> <li>4. Post to the ledger named as general and subsidiary ledgers</li> <li>5. Prepare unadjusted trial balance</li> <li>6. Prepare adjusting entries</li> <li>7. Prepare adjusted trial balance</li> <li>8. Prepare accounting worksheet</li> </ol> |

| Learning Competencies                                                                                                                                                                                            | Content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
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|                                                                                                                                                                                                                  | 9. Prepare financial statements <ol style="list-style-type: none"> <li>Income Statement</li> <li>Statement of Changes in Owner's Equity</li> <li>Balance Sheet</li> <li>Statement of Cash flow</li> </ol> 10. Prepare closing entries of nominal accounts<br>11. Prepare post-closing trial balance<br>12. Prepare reversing entries                                                                                                                                                                                                                                                                 |
| <b>Accounting Cycle for a Merchandising Business using the Perpetual and Periodic Methods</b>                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| 8. Discuss merchandising business transactions and the required source documents using the perpetual and periodic methods<br><br>9. Explain shipping and delivery terms using the perpetual and periodic methods | <b>Introduction to Merchandising Business</b> <ul style="list-style-type: none"> <li>Nature of merchandising business</li> <li>Source documents for merchandising business</li> </ul> Shipping and payment terms                                                                                                                                                                                                                                                                                                                                                                                     |
| 10. Prepare complete accounting worksheets following a record of transactions in the merchandising business using the perpetual method and periodic method                                                       | <b>Accounting Cycle of a Merchandising Business</b> <ol style="list-style-type: none"> <li>Identify the transaction and events</li> <li>Analyze the nature of the transactions and events</li> <li>Journalize transactions using the general and special journals namely: sales journal, purchase journal, cash receipts journal and cash payments journal</li> <li>Post to the ledger named as general and subsidiary ledgers</li> <li>Prepare unadjusted trial balance</li> <li>Prepare adjusting entries</li> <li>Prepare adjusted trial balance</li> <li>Prepare accounting worksheet</li> </ol> |

| Learning Competencies                                                                     | Content                                                                                                                                                                                                                                                                                                                                          |
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|                                                                                           | 9. Prepare financial statements <ul style="list-style-type: none"> <li>a. Income Statement</li> <li>b. Statement of Changes in Owner's Equity</li> <li>c. Balance Sheet</li> <li>d. Statement of Cash Flow</li> </ul> 10. Prepare closing entries of nominal accounts<br>11. Prepare post-closing trial balance<br>12. Prepare reversing entries |
| 11. Present a complete accounting practice set following the fundamental accounting cycle | Accounting Practice Set                                                                                                                                                                                                                                                                                                                          |